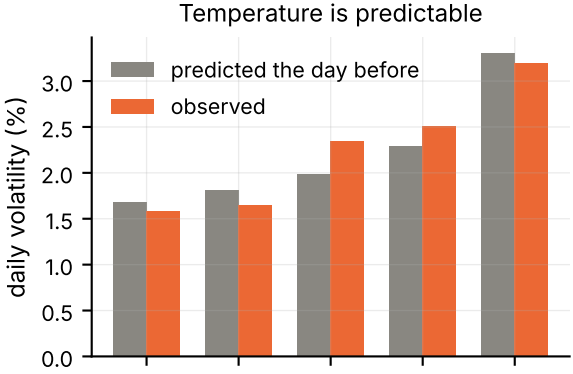
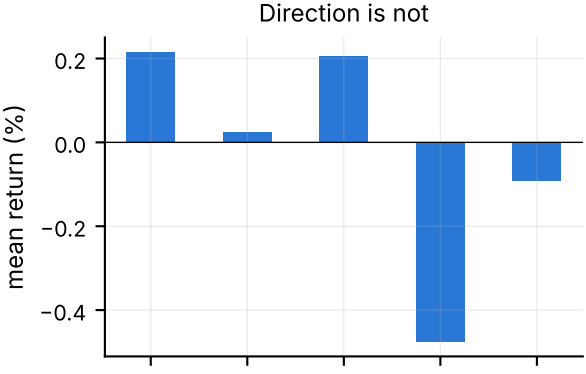

Temperature is predictable
predicted the day before
observed
daily volatility (%)
3.0
2.5
2.0
1.5
1.0
0.5
0.0
very cold
cold
medium
hot
very hot


Direction is not
mean return (%)
0.2
0.0
−0.2
−0.4
very cold
cold
medium
hot
very hot